the producer of industrial raw materials and tried to capture Indian market for their industrial finished goods and thus started exploiting Indian economy in a different way. Later on, British capitalists gradually developed various industries like, jute, tea, coffee, cotton and textiles, paper and paper pulp, sugar etc, in India for locational advantages and exploited Indian labourers extensively.

8.5 Problems of British Rule

1. The British rule stunted the growth of Indian enterprise.
2. The economic policies of the British checked and retarded capital formation in India.
3. The drain of wealth from India financed capital development in Britain.
4. Indian agricultural sector became stagnant and deteriorated even when a large section of Indian population was dependent on agriculture for subsistence.
5. The British rule in India led to the collapse of handicraft industries without making any significant contribution to the development of any modern industrial base.
6. Some efforts by the colonial British regime in developing the plantations, mines, jute mills, banking and shipping, mainly promoted a system of capitalist firms that were managed by foreigners. These profit motives led to further drain of resources from India.

8.6 Important Industrial Policies Prior to 1991

India is the Asia's third largest economy. The 70 years of Independence have brought a remarkable change in the socio economic landscape of India.

Industrial Policy of India

1948, 1956, 1977, 1980, 1990 & 1991

Economic development of a country particularly depends on the process of industrialisation. At the time of Independence, India inherited a weak and shallow industrial base. Therefore during the post–Independence period, the Government of India laid special emphasis on the development of a solid industrial base. The Industrial Policy Resolutions of 1948 and 1956 clearly stated the need for developing both small scale industries and large scale industries.

8.6.1 Industrial Policy Resolutions 1948

The Government of India recognized the significant contribution of industrialization. Therefore the Government of India declared its first Industrial Policy on 6th April 1948. The main importance of this policy was that it ushered in India the system of mixed economy.

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